3. Because the depreciation and other amortization charges are irregularly computed.[9]

Special Dividends Paid by Subsidiaries. When earnings of nonconsolidated subsidiaries are allowed to accumulate in their surplus accounts, they may be used later to bolster up the results of a poor year by means of a large special dividend paid over to the parent company.

Examples: Such dividends, amounting to $11,000,000, were taken by the Erie Railroad Company in 1922 from the Pennsylvania Coal Company and Hillside Coal and Iron Company. The Northern Pacific Railway Company similarly eked out its depleted earnings in 1930 and 1931 by means of large sums taken as special dividends from the Chicago, Burlington, and Quincy Railroad Company, the Northern Express Company, and the Northwestern Improvement Company, the last being a real-estate, coal and iron-ore subsidiary. The 1931 earnings of the New York, Chicago, and St. Louis Railroad Company included a back dividend of some $1,600,000 on its holdings of Wheeling and Lake Erie Railway Company Prior Preferred Stock, only a part of which was earned in that year by the Wheeling road.

This device of concealing a subsidiary's profits in good years and drawing upon them in bad ones may seem quite praise-worthy as a method of stabilizing the reported earning power. But such benevolent deceptions are frowned upon by enlightened opinion, as illustrated by the more recent regulations of the New York Stock Exchange which insist upon full disclosure of subsidiaries' earnings. It is the duty of management to disclose the truth and the whole truth about the results of each period; it is the function of the stockholders to deduce the "normal earning power" of their company by averaging out the earnings of prosperity and depression. Manipulation of the reported earnings by the management even for the desirable purpose of maintaining them on an even keel is objectionable none the less because it may too readily lead to manipulation for more sinister reasons.

Distorted Earnings Through Parent-Subsidiary Relationships. Examples are available of the use of the parent-subsidiary relationship to produce astonishing distortions in the reported income. We shall give two illustrations taken from the railroad field. These instances are the more impressive because the stringent accounting regulations of the Interstate

[9] Standard Statistics does not calculate per-share earnings if depreciation has not been deducted.